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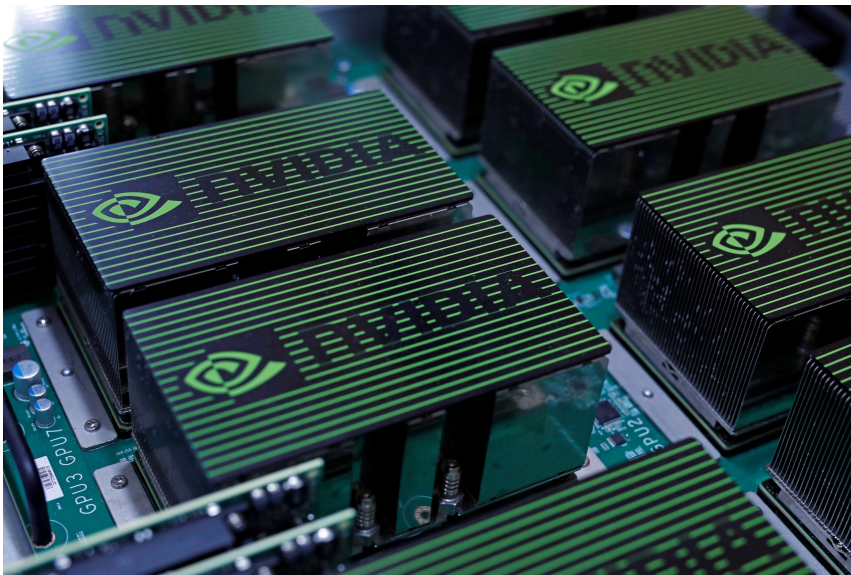
BUSINESS • EARNINGS PREVIEW

Nvidia Earnings: What to Watch

Chip sales to data centers and gaming systems, potential deals with auto makers in focus

By Ted Greenwald

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Nvidia's share price has ballooned by around 185% in the past 12 months. TYRONE SIU/REUTERS

Nvidia Corp. **NVDA** **-4.13%** ▼ is scheduled to announce results for its fiscal second quarter after the market closes Thursday. Here's what to look for:

EARNINGS FORECAST: For the quarter that ended in July, analysts expect Nvidia to report profit of 70 cents a share, according to a survey by Thomson Reuters, up 75% from 40 cents the same quarter a year earlier.

REVENUE FORECAST: Analysts expect total revenue of \$1.96 billion for the quarter, up roughly 37% from \$1.43 billion the same quarter a year earlier.

WHAT TO WATCH

DATA CENTER: Nvidia's share price has ballooned by around 185% in the past 12 months, largely on rapid growth of sales to data centers. The chip maker, whose graphics processing units have proven especially useful in artificial intelligence, must show that it can sustain the torrid pace as global internet companies build their AI capabilities. Mitch Steves of RBC Capital Markets LLC expects data-center revenue to grow by triple digits year-over-year, and for it to grow quarter-on-quarter, for the rest of the fiscal year. "They have to grow sequentially in the data-center business to show they're taking share" of data-center spending from the likes of Intel Corp., he said.

GAMING: Graphics chips for gaming systems lately have accounted for more than half of Nvidia's revenue. Investors want to see that business continue to grow in the face of competition from Advanced Micro Devices Inc. Gaming sales tend to pick up in the second quarter, and Nvidia's results may see an extra lift in the quarter because miners of internet-based currency bought up the supply of some competing AMD units, leaving gamers little choice but to buy Nvidia. Matt Ramsay of Canaccord Genuity Group Inc. expects gaming revenue to be up around 22% year on year.

AUTOMOTIVE: The automotive market is a major source of potential growth for semiconductor companies, as vehicles require ever greater computational horsepower. Nvidia does a growing business in chips for in-car displays, and it has a strong presence in test vehicles for developing fully autonomous driving. The question is, can it outdistance Intel and Qualcomm Inc. in supplying systems that let cars take on more driving chores and ultimately drive themselves? Investors will be looking for news of deals with auto makers to use Nvidia's automotive platform in production models, following an agreement with Toyota Motor Corp. announced earlier this year, as well as other new automotive relationships.

